

Retail Research	IPO Note
Sector: Hospitality	Price Band (Rs): 610 - 643
17 th December 2024	

Ventive Hospitality Ltd.

Company Overview:

Ventive Hospitality Ltd (VHL) is a hospitality owner with primary focus on luxury offerings across business and leisure segments. All of the company's hospitality assets are operated by or franchised from global operators, including Marriott, Hilton, Minor and Atmosphere. VHL's portfolio includes 11 operational hospitality assets in India and Maldives, totaling 2,036 keys across the upscale, upper-upscale and luxury segment. The company's luxury hospitality assets post-acquisition comprises of JW Marriott & The Ritz-Carlton in Pune and Conrad, Anantara & Raaya by Atmosphere in Maldives. Further as of 1HFY25, the company's platform also includes 4 stabilized Grade A annuity assets (3 Office assets & 1 Retail asset) having a total leasable area of 3.4 mn sq ft which are currently occupied by marquee tenants such as HSBC, Deutsche Bank, Nokia, Vodafone, PwC, Sephora, Starbucks and Vero Moda.

Key Highlights:

1. Premium hospitality assets with marquee brands: VHL's hospitality portfolio comprises of marquee luxury asset brands operated by global hospitality brands like JW Marriott & The Ritz-Carlton in Pune and Conrad, Anantara & Raaya by Atmosphere in Maldives. The company's assets in India benefit from large-scale events spaces and award-winning food & beverage (F&B) offerings () and are located close to key transport and social infrastructure areas. Further, its assets command a premium Average Room Rate (ARR) compared to other comparable properties in India and Maldives, standing as a testament to superior asset quality, contemporary offerings and customer experience.

2. Delivering acquisition led growth: As of Sep'24, the company's operating portfolio consisted of 2,036 keys across 11 hospitality assets. Out of the total 2,036 keys, 1,331 keys across 7 assets were developed by the company, while 705 keys across 4 assets were acquired. Further, VHL has a demonstrated track record of last 15 years in developing marquee hospitality assets, executing landmark acquisitions and utilizing design capabilities to create value in acquisitions and establish a presence in desirable destinations across India and Maldives. As part of their expansion, the company has added 1,070 keys since FY19 which comprises of more than 50% of the number of keys in their portfolio as of FY24. As of 1HFY25, the consolidated debt stood at Rs 3,599 cr, post-acquisition carried out in 1HFY25.

3. Proven track-record of active asset management: The company believes its hospitality assets are destinations of choice due to their high quality, premium positioning and unique offerings. The asset management practices of VHL are designed to provide a superior experience for guests, tenants and consumers, which are driven by comprehensive procedures aimed at improving operational performance of assets through increased occupancy rates and revenue generation, as well as enhanced cost efficiencies. The company works closely with the hotel operators to continuously assess initiatives for improving revenue generation and operational efficiencies across its hospitality assets.

Valuation: The company is valued at FY24 P/E and EV/EBITDA multiples of 90.3x and 48.5x respectively based on the upper price band on the post-issue capital. The company has partnership with renowned brands like JW Marriott, Hilton, The Ritz-Carlton, etc. It has generated ~41.0% of revenue from its annuity assets in 1HFY25 which are leased out to marquee tenants like HSBC, Deutsche Bank, Starbucks, etc. Further, the company has robust financial track record of 44.4%/56.2%/139.3% Revenue/EBITDA/PAT CAGR respectively over FY22-FY24. The recent acquisitions resulted in a net loss of ~Rs 21 cr in 1HFY25. The company will utilize Rs 1,400 cr to repay debt which will help reduce finance cost and improve profits for the company going forward.

Issue Details	
Date of Opening	20 th December 2024
Date of Closing	24 th December 2024
Price Band (Rs)	610 – 643
Offer for sale (Rs cr)	-
Fresh Issue (Rs cr)	1,600
Issue Size (Rs cr)	1,600
No. of shares	2,62,29,508 – 2,48,83,359
Face Value (Rs)	1
Post Issue Market Cap (Rs cr)	14,328 – 15,017
BRLMs	JM Financial, Axis Capital, HSBC Securities & Capital Markets, ICICI Securities, IIFL Capital Services, Kotak Mahindra Capital Co, SBI Capital Markets
Registrar	KFin Technologies Ltd
Bid Lot	23 shares and in multiple thereof
QIB shares	75%
Retail shares	10%
NIB shares	15%

Objects of Issue	
	Estimated utilization from net proceeds (Rs cr)
Repayment and/or prepayment of all or a portion of certain outstanding borrowings availed by i) the company including payment of accrued interest; and ii) step-down subsidiaries namely SS & L Beach Pvt Ltd and Maldives Property Holdings Pvt Ltd including payment of accrued interest.	1,400.0
General Corporate Purposes [^]	-
Total proceeds from fresh issue	1,600.0

[^] To be finalised upon determination of the Offer Price and updated in the Prospectus prior to filing with RoC. The amount utilized for general corporate purposes shall not exceed 25% of the Gross Proceeds.

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	20,78,11,070	99.6
Public & Others	8,46,760	0.4
Total	20,86,57,830	100.0

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	20,78,11,070	88.5
Public & Others	2,70,76,268	11.5
Total	23,48,87,338	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	20,78,11,070	89.0
Public & Others	2,57,30,119	11.0
Total	23,35,41,189	100.0

Source: RHP, SSL Research

Key Financials

Particulars (Rs cr)	FY22	FY23	FY24	1HFY25
Revenue from operation	229.2	430.8	478.0	372.8
EBITDA	116.3	239.2	283.8	164.2
PAT	29.4	131.3	166.3	(20.8)
EBITDA Margin (%)	50.7	55.5	59.4	44.1
PAT Margin (%)	12.8	30.5	34.8	-
ROE (%)	13.7	78.2	49.7	-
ROCE (%)	12.1	33.9	33.8	-
PE (x)*	455.9	102.2	80.7	-

Source: RHP, SSL Research

*Pre-issue based on upper price band

Financial Data for FY22, FY23 and FY24 is on a standalone basis, while financial data for 1HFY25 is on a consolidated basis.

Risk Factors

- **Reputational risk:** The performance and quality of services offered by the company are critical to the success of the business which are operated by or franchised from third-party brands. The hotel operators have been granted varying degrees of control and discretion in the management and operation of the individual hospitality asset under the terms of relevant hotel operator or franchise agreements. Any adverse impact on the reputation of the hospitality assets or the brands under which they operate, or a failure of quality control systems at the hospitality assets could adversely affect the business, results of operations and financial condition.
- **Tenant risk:** The company derived 59.1%/47.1%/48.6%/41.0% of its FY22/FY23/FY24/1HFY25 revenue respectively from its Annuity assets. These assets are concentrated in Pune, Maharashtra and rental rates of the assets are dependent on various factors such as the prevailing supply & demand conditions and the quality & design of the assets. Further, the tenants may not renew the lease and the company can delay in finding new tenants. Thus, any failure to retain and attract new tenants for the annuity asset business may have an adverse effect on the business, result of operations and financial conditions.
- **Customer retention risk:** The company operates in the upscale, upper upscale and luxury segment of the hospitality industry where the customer demand is affected by changes in consumer preferences, national, regional and local economic conditions and demographic trends. VHL has to continually enhance the services offered in order to compete with popular new hospitality services, operation formats, concepts or trends that emerge from time to time. Any inability to identify, anticipate, understand and address contemporary and evolving customer preferences or to deliver quality service as compared to competitors could materially and adversely affect the business, results of operations and financial conditions.

Growth Strategy

- Develop and expand asset base.
- Drive organic growth through ramp-up of existing assets.
- Leverage the award-winning food & beverage (F&B) amenities.
- In-organic acquisitions supported by cashflows and significant debt headroom.
- Proactive asset management to drive shareholder value.

Revenue Mix – Segment wise

Particulars	FY22		FY23		FY24		1HFY25	
	Rs cr	% of Total Revenue	Rs cr	% of Total Revenue	Rs cr	% of Total Revenue	Rs cr	% of Total Revenue
Hotel Operations	91.1	39.8	225.8	52.4	243.7	51.0	218.7	58.7
Room income	30.0	13.1	96.3	22.3	108.2	22.6	112.3	30.1
Food & beverages	53.4	23.3	109.7	25.5	111.1	23.2	86.7	23.2
Other Hotel services income	7.7	3.4	19.9	4.6	24.4	5.1	19.7	5.3
Annuity Assets	135.5	59.1	203.1	47.1	232.4	48.6	152.8	41.0
Rental Income	117.8	51.4	178.0	41.3	203.3	42.5	138.5	37.1
Maintenance & parking charges	16.6	7.3	23.0	5.3	26.8	5.6	13.3	3.6
Other commercial leasing activities	0.7	0.3	1.3	0.3	1.5	0.3	0.7	0.2
Sale of construction materials & fitout	0.3	0.1	0.8	0.2	0.7	0.2	0.3	0.1
Other operating revenue	2.6	1.1	2.0	0.5	1.9	0.4	1.2	0.3
Total	229.2	100.0	430.8	100.0	478.0	100.0	372.8	100.0

Source: RHP, SSL Research

Financial Data for FY22, FY23 and FY24 is on a standalone basis while financial data for 1HFY25 is on a consolidated basis.

Key Operating Metrics

Particulars	FY22	FY23	FY24	1HFY25
Hospitality Assets				
Number of hospitality assets	10	10	11	11
Number of keys	1,869	1,869	2,036	2,036
Average Room Rate (Rs)	20,834.1	17,992.6	19,976.0	16,645.2
Occupancy (%)	34.8	63.7	59.5	60.7
Revenue per Available Room (Rs)	7,255.2	11,456.4	11,880.7	10,099.6
Total Revenue per Occupied Room (Rs)	37,926.9	31,811.8	35,615.9	30,279.6
Food & Beverage Outlets	61	61	70	70
Annuity Assets				
Number of annuity assets	4	4	4	4
Leasable area (mn sq ft.)	3.4	3.4	3.4	3.4
Committed Occupancy (%)	94.5	94.0	97.0	95.6

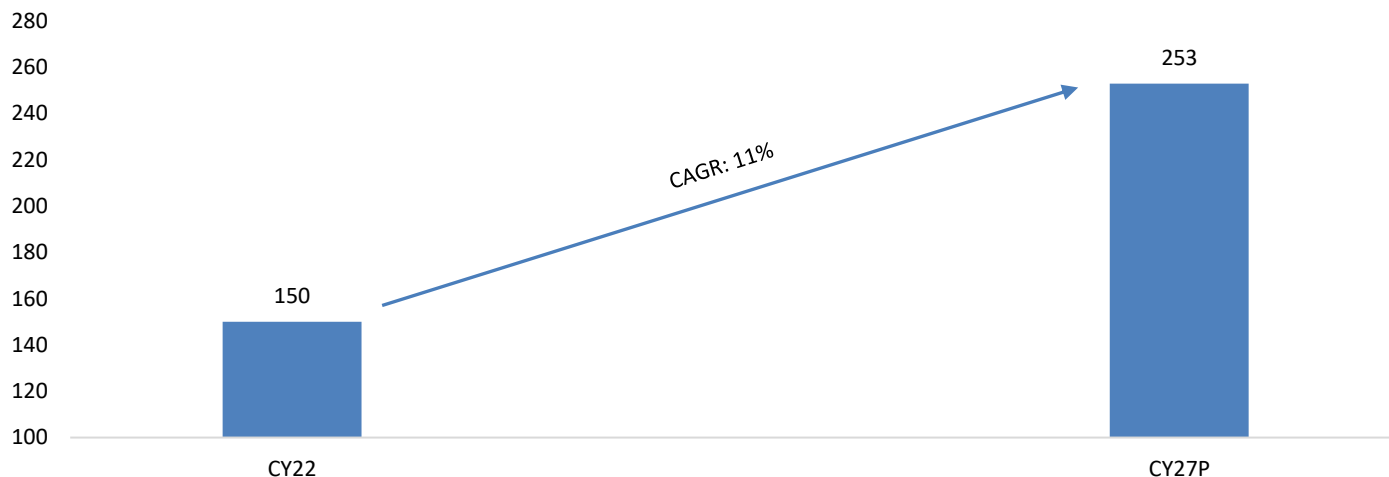
Source: RHP, SSL Research

Data for all the financial years includes the impact of acquisitions carried out during 1HFY25.

Industry Overview

Domestic spend on Travel & Hospitality stood at USD 150 bn or ~5% of the GDP in CY22, and is projected to grow at a CAGR of ~11% between CY22-CY27P to reach USD 253 bn or ~6% of GDP by CY27P. The projected increase in domestic spending can be attributed to various factors like rapid urbanization, rising middle class and high-income population, higher working population among other factors.

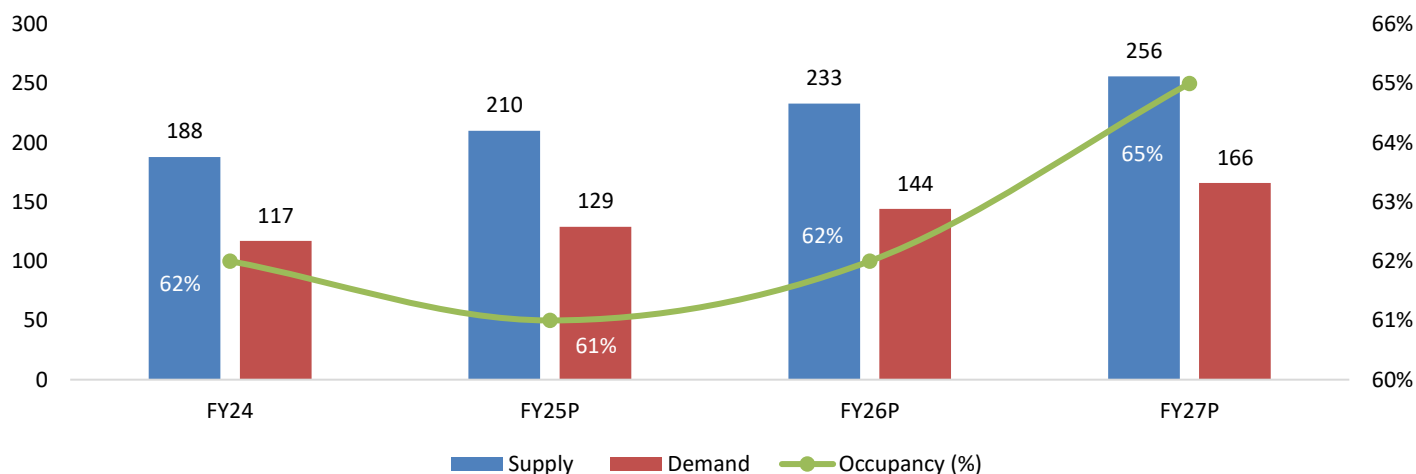
Domestic spend on Tourism & Hospitality (USD bn)



Source: RHP, SSL Research

As of FY24, the overall occupancy of hotel rooms stood at ~62% in the country which is further expected to grow to ~65% by FY27P. Demand growth for chain affiliated hotels in India across all segments is significantly higher compared to inventory growth, with the trend expected to continue between FY24-FY27P, will likely cause increased hotel occupancy and potentially support strong Average Room Rate (ARR).

All India - Rooms Inventory, Demand & Occupancy



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT				
Particulars (Rs cr)	FY22	FY23	FY24	1HFY25
	Standalone			Consolidated
Revenue from Operations	229	431	478	373
<i>YoY growth (%)</i>	-	88.0	10.9	-
Cost Of Revenue (incl Stock Adj)	16	33	32	27
Gross Profit	213	398	446	346
Gross margin (%)	93.1	92.3	93.2	92.9
Employee Cost	25	30	37	54
Other Operating Expenses	73	129	124	128
EBITDA	116	239	284	164
EBITDA margin (%)	50.7	55.5	59.4	44.1
Other Income	8	11	17	16
Interest Exp.	41	42	47	83
Depreciation	48	49	48	61
PBT	36	159	205	36
Exceptional item/Extraordinary item	-	-	-	(9)
Tax	7	28	39	48
PAT	29	131	166	(30)
PAT margin (%)	12.8	30.5	34.8	-
EPS	1.4	6.3	8.0	(1.0)

BALANCE SHEET				
Particulars (Rs cr)	FY22	FY23	FY24	1HFY25
	Standalone			Consolidated
Assets				
Net Block	182	172	160	2,633
Capital WIP	9	9	9	106
Right of use assets	63	58	54	1342
Other Non current Assets	401	379	383	3,980
Current Assets				
Current Investment	10	48	158	-
Inventories	3	4	5	48
Trade receivables	20	24	17	68
Cash and Bank Balances	119	59	71	176
Short-term loans and advances	0	0	71	169
Other Current Assets	19	25	24	192
Total Current Assets	171	161	345	653
Current Liabilities & Provisions				
Trade payables	33	24	28	125
Other current liabilities	64	58	71	259
Short-term provisions	1	1	1	2
Total Current Liabilities	98	82	100	386
Net Current Assets	74	79	246	267
Total Assets	727	697	852	8,328
Liabilities				
Share Capital	11	10	10	21
Reserves and Surplus	204	157	324	3,036
Total Shareholders' Funds	215	168	334	3,057
Minority Interest	-	-	-	740
Total Debt	419	425	413	3,599
Long Term Provisions	1	2	2	6
Lease Liabilities	60	59	57	313
Other Long-Term Liabilities	32	44	46	160
Net Deferred Tax Liability	-	-	-	454
Total Liabilities	727	697	852	8,328

Cashflows (Rs cr)	FY22	FY23	FY24	1HFY25
	Standalone			Consolidated
Cash flow from Operating Activities	129	215	265	131
Cash flow from Investing Activities	(41)	11	(198)	(1,961)
Cash flow from Financing Activities	(83)	(219)	(57)	1,651
Free Cash Flow	118	199	253	(2,120)

RATIOS				
	FY22	FY23	FY24	1HFY25
	Standalone			Consolidated
Profitability				
Return on Assets (%)	3.6	16.8	17.5	-
Return on Capital Employed (%)	12.1	33.9	33.8	-
Return on Equity (%)	13.7	78.2	49.7	-
Margin Analysis				
Gross Margin (%)	93.1	92.3	93.2	92.9
EBITDA Margin (%)	50.7	55.5	59.4	44.1
Net Profit Margin (%)	12.8	30.5	34.8	-
Short-Term Liquidity				
Current Ratio (x)	1.2	1.7	3.1	0.9
Quick Ratio (x)	1.1	1.7	3.0	0.8
Avg. Days Sales Outstanding	32	20	13	66
Avg. Days Inventory Outstanding	5	3	3	47
Avg. Days Payables	53	20	21	122
Fixed asset turnover (x)	0.9	1.9	2.2	0.1
Debt-service coverage (x)	0.2	0.4	0.5	-
Long-Term Solvency				
Total Debt / Equity (x)	1.9	2.5	1.2	1.2
Interest Coverage Ratio (x)	1.9	4.8	5.3	1.4
Valuation Ratios				
EV/EBITDA (x)	118.0	57.6	48.5	-
P/E (x)	455.9	102.2	80.7	-
P/B (x)	62.4	80.0	40.1	-
EV/Sales (x)	59.9	32.0	28.8	-

Source: RHP, SSL Research

Peer Comparison – FY24

Particulars (Rs cr)	Ventive Hospitality Ltd	Chalet Hotels Ltd	Samhi Hotels Ltd	Juniper Hotels Ltd	Apeejay Surrendra Park Hotels Ltd
CMP	643.0	1,001.0	203.3	352.5	186.8
Sales	478.0	1,417.3	957.4	817.7	579.0
EBITDA	283.8	584.6	266.5	311.0	192.5
Net Profit	166.3	278.2	(234.6)	23.8	68.8
Mkt Cap.	15,016.7	21,864.6	4,472.6	7,843.2	3,985.8
Enterprise Value	13,758.4	24,732.6	6,416.5	8,262.8	3,959.7
EBITDA Margin (%)	59.4	41.2	27.8	38.0	33.2
Net Margin (%)	34.8	19.6	-	2.9	11.9
PE (x)	90.3	73.9	-	241.4	48.9
EV/EBITDA (x)	48.5	42.3	24.1	26.6	20.6
RoE (%)	49.7	15.0	-	0.9	5.7
RoCE (%)	33.8	9.7	5.6	6.5	46.3
EV/Sales	28.8	17.5	6.7	10.1	6.8
Inventory/Keys (nos)*	2,036	3,052	4,801	1,895	2,395
Hotels (nos)*	11	10	31	7	33
Average Room Rate (Rs)*	19,976.0	10,718.4	5,718.0	10,165.0	6,699.0
Average Occupancy (%)*	59.5	72.6	73.0	75.0	92.1

FY22, FY23 and FY24 data for Ventive Hospitality is on a standalone basis

For Ventive Hospitality Ltd, Market cap, P/E (x), EV/EBITDA (x) and EV/Sales (x) are calculated on post-issue equity share capital based on the upper price band.

For Ventive Hospitality Limited RoE (%) and RoCE (%) are calculated on pre-issue capital.

**For Ventive Hospitality Limited the Number of Keys, Number of Hotels, Average Room Rate and Average Occupancy (%) includes the impact of the merger carried out in 1HFY25.*

CMP of peer companies as of 17th December, 2024.

Source: RHP, SSL Research

SBICAP Securities Limited

(CIN): U65999MH2005PLC155485 | Research Analyst Registration No INH000000602

SEBI Registration No.: Stock Broker: INZ000200032 | CDSL: IN-DP-314-2017 | NSDL: IN-DP-NSDL-369-2014 | Research Analyst: INH000000602

IRDA/RW/IR2/2015/081 | IRDA/RW/IR1/2016/041 | IRDA: CA0103

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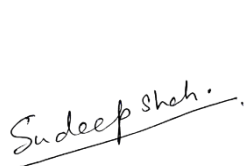
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